

Basically, the idea here is that something has changed and the business is no longer capable of doing what it once was.

The third and final category includes stocks “subject to massive dilution during the meltdown where old common stockholders were unable to protect themselves from the dilution.” This happens when a company issues a bunch of new shares to raise money to cover losses or pay back debt. It’s like adding water to your beer and sharing it.

A famous economist learned these lessons the hard way.

A Famous Economist Learns to Buy Right and Hold On

“A falling stock market seems to clarify and stimulate thought. When it is rising, nobody cares to know why or how, but when it falls everyone is very eager to know all about it.”

— Albert Jay Nock, *Informed Common Sense: The Journals of Albert Jay Nock*

Take the following, type it out and pin it over your desk:

I feel no shame at being found still owning a share when the bottom of the market comes. I do not think it is the business, far less the duty, of an institutional or any other serious investor to be constantly considering whether he should cut and run on a falling market, or to feel himself open to blame if shares depreciate in his hands.

I would go much further than that. I should say it is from time to time the duty of a serious investor to accept the depreciation of his holdings with equanimity and without reproaching himself.

That excerpt comes from a letter in 1938 by one of the greatest investors of all time. He made money in one of the most difficult markets of all time — that of the Great Depression.

He is John Maynard Keynes (1883–1946).

This may surprise you. Keynes you know as an influential economist.

But whatever you think of Keynes as an economist, the man was a